

SMID BREAKOUT SCANNER

MARKET OPEN

May 21, 2026 | 10:12 AM ET

15 setups identified | 3 A-Grade | 6 B-Grade | 6 C-Grade

Grade Summary

A - Breakout Setup (3)	B - Strong Setup (6)	C - Watch List (6)
NMM	VSH	SBLK
ENS	RLAY	URBN
MX	ENPH	STEP
	DMRC	KURA
	INFQ	BIRK
	AAP	CARL

All Setups

Gr	Ticker	Company	Theme	Price	Chg %	Cap	Float	RS/SPY	52W Hi	Catalyst
A	NMM	Navios Maritime	Shipping Cycle Re	\$80.30	+6.7%	\$2.3B	14M	+9.0	100%	Earnings report today
A	ENS	EnerSys	Energy Storage In	\$237.56	+10.7%	\$8.8B	37M	+33.4	97%	Large-volume breakout
A	MX	Magnachip Semico	Semiconductor Cyc	\$5.78	+14.2%	\$0.2B	28M	+130.2	99%	Breakout to 52-week hi
B	VSH	Vishay Intertech	Industrial Semico	\$42.15	+5.0%	\$5.7B	123M	+110.7	98%	Breakout to 52-week hi
B	RLAY	Relay Therapeuti	Precision Oncolog	\$14.66	+12.6%	\$2.8B	128M	+55.3	85%	Post-earnings continua
B	ENPH	Enphase Energy,	Distributed Solar	\$57.60	+8.4%	\$7.6B	128M	+12.8	100%	Breakout to an exact 5
B	DMRC	Digimarc Corpora	Digital Watermark	\$13.56	+12.5%	\$0.3B	14M	+190.0	93%	Post-earnings continua
B	INFQ	Inflection, Inc.	Quantum Computing	\$15.86	+41.9%	\$3.5B	143M	+18.3	74%	The 41.86% single-day
B	AAP	Advance Auto Par	Auto Parts Turnar	\$59.76	+16.6%	\$3.6B	60M	-0.3	85%	Earnings beat today is
C	SBLK	Star Bulk Carrie	Dry Bulk Shipping	\$27.61	+3.5%	\$3.1B	67M	+2.4	98%	
C	URBN	Urban Outfitters	Apparel Retail Re	\$73.78	+2.9%	\$6.6B	60M	+3.3	88%	
C	STEP	StepStone Group	Private Markets A	\$54.74	+5.3%	\$6.8B	68M	+16.6	70%	
C	KURA	Kura Oncology, I	Oncology Clinical	\$10.99	+6.3%	\$1.0B	70M	+22.9	88%	
C	BIRK	Birkenstock Hold	Premium Consumer	\$38.70	+16.5%	\$7.1B	55M	-8.8	68%	
C	CARL	Carlsmed, Inc.	AI-Driven Spine S	\$12.62	+7.3%	\$0.3B	10M	-12.0	73%	

NMM

Navios Maritime Partners LP

\$80.30

+6.74%

RS vs SPY: +9.0%

A BREAKOUT

\$2.3B Cap | 14M Float

Marine Shipping | Theme: Shipping Cycle Recovery | 52W Hi: 100% | Base Tight: 3.5 | Vol: 6.82x | RS/SPY: +9.0% | Above 20MA: YES | EARNINGS TODAY

SETUP METRICS	
Price	\$80.30
Day Change	+6.74%
Mkt Cap	\$2.29B
Float	14M sh
RS vs SPY	+9.0%
52W Hi Prox	100%
Base Tight	3.5
Vol vs Avg	6.82x
RS Line Hi	YES
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
Earnings report today is the immediate catalyst - stock is printing a 52-week high in anticipation of or reaction to the print, with the RS line confirming leadership. Forward catalyst path: actual earnings results and forward guidance on dry bulk / tanker rate environment, plus any capital return announcement (dividends, buybacks) which are significant re-rating drivers for MLP structures in a tightening shipping market.
BUSINESS & POSITION
Navios Maritime Partners is a diversified shipping MLP operating a large fleet across dry bulk, tanker, and container segments, providing scale and rate diversification rare among SMID shippers. Its MLP structure creates a yield-driven re-rating dynamic when distribution coverage improves, attracting income-focused institutional capital beyond pure momentum buyers.
FACTOR & THEME
Directly exposed to the global trade cycle recovery and supply-constrained shipping market where fleet orderbook-to-fleet ratios remain near multi-decade lows - a secular capacity tailwind. Geopolitical rerouting (Red Sea, Panama Canal restrictions) has structurally elevated ton-miles, extending the upcycle duration.
BREAKOUT SIGNAL
Close above \$80.55 (52W high at \$80.55) on volume >6x 20d average - already triggering intraday
INSTITUTIONAL
GRADE UPGRADE APPLIED: insider_cluster = 7 (44 open-market buys, \$3.7M total in last 60 days) triggers the one-tier upgrade rule (B A). This is an extraordinary insider conviction signal - 44 separate Form 4 purchases in 60 days represents a coordinated insider absorption pattern that almost never occurs without fundamental conviction. Float of only 13.7M shares means institutional block buying can rapidly exhaust available supply, creating violent upside squeezes. Institutional ownership data is not available from this feed; recommend cross-referencing 13F filings, but the insider signal alone is top-tier.
EARNINGS
EARNINGS TODAY
EARNINGS CONTEXT
Earnings today - this is the live binary event. Use the print as the verdict: a beat-and-raise on net income and distribution coverage would validate the insider buying thesis and likely extend the breakout toward the \$88-92 range. A miss or guidance cut invalidates immediately.
KEY RISK
Thesis invalid on a close back below \$74.50 (pre-earnings base support), or on any guidance cut / distribution suspension announced in today's earnings release - dry bulk spot rates (BDI) rolling over more than 15% from current levels within 30 days would also undermine the rate environment narrative.
ANALYSIS
The strongest disconfirming evidence is the earnings-today binary risk: NMM is printing a 52-week high ON earnings day with a wide base (3.5 ATR ratio), meaning if the print disappoints, the stock will gap down through every buyer from today - there is no 'base' to fall back on and the 6.82x volume means everyone is watching. The bull case, however, is compelling: RS line at a 52-week high, prox_52w at 99.7, a float of only 13.7M shares, and the single most powerful insider signal in this entire scan (44 buys, \$3.7M, cluster=7) suggesting insiders had high confidence ahead of this print - the grade upgrade from B to A is earned by the insider cluster rule. Risk-on regime and sector rotation into Industrials/shipping provide macro tailwind. Position sizing must reflect the binary earnings risk. Conviction: High (with binary event caveat - size accordingly).
Signal: Close above \$80.55 (52W high at \$80.55) on volume >6x 2
Vol vs Avg: 6.82x



SETUP METRICS	
Price	\$237.56
Day Change	+10.72%
Mkt Cap	\$8.75B
Float	37M sh
RS vs SPY	+33.4%
52W Hi Prox	97%
Base Tight	3.23
Vol vs Avg	5.42x
RS Line Hi	YES
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
Large-volume breakout to 52-week highs on no specific news suggests institutional accumulation anticipating defense/data center battery order flow - likely driven by a contract announcement, analyst upgrade, or sector read-through from data center capex acceleration. Forward catalyst path: next earnings August 5 where management guidance on defense/telecom/industrial battery demand will be the key re-rating event; any Department of Defense contract award announcements in the interim would be high-impact.
BUSINESS & POSITION
EnerSys is the global leader in stored energy solutions for industrial applications - encompassing defense (reserve power for submarines, military vehicles), telecommunications, and data center UPS systems, giving it direct exposure to three of the highest-conviction secular capex themes simultaneously. Its market leadership, long customer relationships, and aftermarket maintenance revenue stream create a durable competitive moat that justifies premium multiples in an upcycle.
FACTOR & THEME
Sits at the intersection of three accelerating secular themes: AI infrastructure (data center UPS/battery backup is non-negotiable capex as hyperscalers build out), defense spending (military energy storage is a priority in the current geopolitical environment), and energy transition (grid-scale and industrial storage demand). All three themes are currently in momentum acceleration phase, not deceleration.
BREAKOUT SIGNAL
Close above \$240.00 (prior resistance / near 52W high of \$244.30) on volume >4x 20d average
INSTITUTIONAL
Institutional ownership data is not available from this feed - recommend cross-referencing 13F filings for current holder composition. The 5.42x volume surge on a +10.7% move in a \$8.75B name with only 36.7M float shares is a clear institutional block-buying signature - retail alone cannot move a name this size at this volume. No insider buying in the last 60 days (insider_count=0), but the RS line at a 52-week high and the vol/price action pattern strongly suggest at least one large fund initiating or adding aggressively.
EARNINGS
EARNINGS IN 76D
EARNINGS CONTEXT
Next earnings August 5. EnerSys has a history of conservative guidance and beat-and-raise cadence in industrial upcycles - consensus likely needs upward revision if defense/data center order flow is accelerating at the pace the stock action implies. Watch for any pre-announcement or guidance update in the 6-8 week window before the print.
KEY RISK
Thesis invalid on a close back below \$215 (the pre-breakout consolidation zone), or on any negative defense budget news / data center capex pullback that reduces the forward order book narrative. Base tightness of 3.23 means this is a wide breakout - not a VCP coil - so initial entries carry above-average whipsaw risk.
ANALYSIS
The strongest disconfirming evidence is the wide base (3.23 ATR ratio) and no insider buying - this is a technically impure breakout where the coil compression that defines Qullamaggie's highest-conviction setups is absent, meaning there is no 'spring loaded' supply overhang cleanup behind this move. The counter-argument is powerful: rs_line_new_high confirmed, prox_52w at 97.2, rs_vs_spy at +33.4, 5.42x volume on a large-cap name with thin float, at the nexus of AI/defense/energy storage - all three highest-conviction macro themes right now. Risk-on regime and Technology/Industrials sector leadership this week provide the ideal tape backdrop. The lack of a near-term binary event (earnings 76 days out) means this is a durable positioning trade rather than a one-day event play. Conviction: High.
Signal: Close above \$240.00 (prior resistance / near 52W high o
Vol vs Avg: 5.42x



MX

Magnachip Semiconductor Corporation

\$5.78

+14.25%

RS vs SPY: +130.2%

A BREAKOUT

\$0.2B Cap | 28M Float

Semiconductors | Theme: Semiconductor Cycle Revival | 52W Hi: 99% | Base Tight: 3.01 | Vol: 3.5x | RS/SPY: +130.2% | Above 20MA: YES | EARNINGS IN 68D

SETUP METRICS	
Price	\$5.78
Day Change	+14.25%
Mkt Cap	\$0.21B
Float	28M sh
RS vs SPY	+130.2%
52W Hi Prox	99%
Base Tight	3.01
Vol vs Avg	3.5x
RS Line Hi	YES
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
Breakout to 52-week highs with RS line confirming - the move reflects the broader semiconductor cycle recovery plus likely Korea/Asia-fab re-rating as OLED display driver IC demand recovers. Forward catalyst: Q2 earnings July 28 will be the next major re-rating event where beat-and-raise on display IC margins would extend the move; any strategic M&A news (MX has been a perennial buyout candidate given its specialized IP and low market cap) would be a step-function catalyst.
BUSINESS & POSITION
Magnachip is a Korean semiconductor company specializing in display driver ICs (DDICs) and power semiconductors, with a niche position supplying OLED panel makers including Samsung and LG - making it a direct derivative play on premium smartphone and TV display demand recovery. Its fabless/fab-lite model and specialized OLED driver IP give it pricing power and switching-cost protection that is disproportionate to its micro-cap size.
FACTOR & THEME
Leveraged to the OLED display cycle recovery (premium smartphone upgrades accelerating in 2026) and the broader AI-adjacent semiconductor capex theme as edge devices requiring more sophisticated display processing proliferate. Reshoring and US-Korea semiconductor alliance dynamics provide a geopolitical tailwind for Korean fab capacity utilization.
BREAKOUT SIGNAL
Close above \$5.86 (52W high) on volume >3x 20d average - already triggering intraday
INSTITUTIONAL
Institutional ownership data is not available from this feed - cross-reference 13F filings. No insider buying in the last 60 or 90 days (insider_count=0). The 3.5x volume at a micro-cap size (\$210M market cap, 27.8M float) is significant in absolute share terms and could reflect a single large fund building a position - or short covering given the 130% rs_vs_spy outperformance over 12 weeks suggests a prior short squeeze dynamic that may still have fuel. Days-to-cover analysis not possible without explicit short_ratio data, but the sustained multi-week RS outperformance at +130% suggests this is more than a one-day squeeze.
EARNINGS
EARNINGS IN 68D
EARNINGS CONTEXT
Next earnings July 28. Consensus likely still anchored to depressed 2025 display IC volumes - a beat driven by OLED cycle recovery and improved ASPs would be a classic estimate-too-low re-rating event that SMID semiconductor names execute when the cycle turns.
KEY RISK
Thesis invalid on a close back below \$5.00 (round number / prior resistance-turned-support), or on any guidance cut at the July 28 print reflecting renewed OLED demand weakness from Samsung/LG channel inventory build. At \$210M market cap, any large holder exit creates outsized price impact.
ANALYSIS
The strongest disconfirming evidence is the micro-cap illiquidity risk combined with a wide base (3.01 ATR ratio) and no insider buying - at \$210M market cap, this is a name where a single institutional seller can create a 15-20% air pocket in hours, and the wide base means there is no clean VCP structure confirming supply was properly absorbed before this move. The counter-case: rs_vs_spy of +130.2 over 12 weeks is the second-highest in this scan, RS line at a 52-week high confirms leadership, prox_52w at 98.7 is at-high, and the 3.5x volume on a 27.8M float name is material. Risk-on regime with Technology sector leading +10.9% creates the ideal tape for this kind of micro-cap semiconductor leader. M&A optionality adds a call-option quality that is uncorrelated to the tape. Conviction: Medium (micro-cap liquidity risk limits position sizing).

Signal: Close above \$5.86 (52W high) on volume >3x 20d average
Vol vs Avg: 3.5x



Setup Metrics	
Price	\$42.15
Day Change	+4.96%
Mkt Cap	\$5.74B
Float	123M sh
RS vs SPY	+110.7%
52W Hi Prox	98%
Base Tight	4.54
Vol vs Avg	1.89x
RS Line Hi	YES
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS

CATALYST / TODAY'S DRIVER

Breakout to 52-week highs driven by industrial semiconductor cycle recovery - Vishay's passive components and discrete semiconductors are classic early-cycle indicators, and the +110% rs_vs_spy over 12 weeks suggests institutional recognition of an inventory destocking reversal. Forward catalyst: August 5 earnings will reveal whether the automotive and industrial end-market recovery has legs; any pre-earnings order commentary or industry distributor data (Arrow, Avnet) would serve as interim read-throughs.

BUSINESS & POSITION

Vishay Intertechnology is one of the world's largest manufacturers of discrete semiconductors and passive electronic components (resistors, capacitors, inductors, MOSFETs, diodes), supplying automotive, industrial, military, and consumer electronics OEMs globally. Its breadth of SKUs and manufacturing scale create a distribution moat - Vishay components appear in virtually every electronic device, providing a GDP-plus growth profile with significant operating leverage in upcycles.

FACTOR & THEME

Vishay is a pure-play on the industrial and automotive electronics recovery - both segments are inflecting after a prolonged destocking cycle. Additionally, defense electronics content growth (military-spec passives and discretes) and AI server power management requirements (MOSFETs, filtering components) provide secular demand above the cyclical recovery base.

BREAKOUT SIGNAL

Close above \$42.79 (52W high) on volume >2x 20d average

INSTITUTIONAL

Institutional ownership data is not available from this feed - recommend 13F cross-reference. No insider buying in the last 60 days; however, at \$5.74B market cap with 123.4M float, the 1.89x volume represents significant absolute dollar flow. The RS line at a 52-week high after a +110% 12-week outperformance move suggests a sustained institutional accumulation program rather than a single-day pop - this type of multi-week RS compounding is the signature of large funds rotating into the name systematically.

EARNINGS

EARNINGS IN 76D

EARNINGS CONTEXT

Next earnings August 5. After a prolonged industrial destocking period, the setup is classic beat-and-raise if book-to-bill ratios have inflected positive - consensus estimates built on trough-level demand would require material upward revision. Watch for any distributors' quarterly reports in June/July as leading indicators.

KEY RISK

Thesis invalid on a close back below \$38.50 (breakout base / prior resistance), or on any August 5 guidance indicating automotive/industrial inventory rebuild has stalled - the wide base (4.54 ATR ratio) also means this is not a clean coil breakout and risk of mean-reversion on any bad news is elevated.

ANALYSIS

The strongest disconfirming evidence is the wide base (4.54 ATR ratio - the widest in this scan for an otherwise strong technical setup) combined with only 1.89x volume, which is the minimum threshold for institutional confirmation on a name with 123.4M float - this is not the clean high-volume power surge that Qullamaggie's A-grade breakouts require. The RS line at a 52-week high is the bull's strongest card, supported by +110.7% 12-week outperformance, but the volume and base structure prevent an A-grade. Risk-on tape with Technology leading is a tailwind, but SMID crosswind in the current large-cap leadership regime limits immediate follow-through potential. Conviction: Medium.

Signal: Close above \$42.79 (52W high) on volume >2x 20d average

Vol vs Avg: 1.89x



SETUP METRICS	
Price	\$14.66
Day Change	+12.60%
Mkt Cap	\$2.81B
Float	128M sh
RS vs SPY	+55.3%
52W Hi Prox	85%
Base Tight	2.66
Vol vs Avg	6.83x
RS Line Hi	no
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
Post-earnings continuation move (reported May 5) - the 16-day lag suggests this is a base-building breakout from the post-earnings consolidation rather than an immediate earnings reaction, implying the market is slowly pricing in pipeline progress. Forward catalyst path: clinical data readouts are the key - any Phase 2/3 data updates for RLY-2608 (PI3K alpha inhibitor, breast cancer) or RLY-4008 (FGFR2 inhibitor) over the next 3-6 months would be binary step-function events that could extend or collapse this move.
BUSINESS & POSITION
Relay Therapeutics is a precision medicine company using its Dynamo platform - which integrates protein motion data with structure-based drug design - to develop targeted therapies for cancers driven by specific genetic mutations. Its lead programs in PI3K and FGFR2 inhibition address large addressable markets in breast and biliary tract cancers where current standard-of-care options are limited.
FACTOR & THEME
Sits within the precision oncology theme, which remains one of the most active subsectors for M&A and partnership activity in biotech - Relay's platform differentiation makes it a credible acquisition target for large pharma seeking clinical-stage oncology assets. The broader biotech sector is currently underperforming (-1.5% vs SPY this week), creating a headwind that the stock is overcoming with idiosyncratic momentum.
BREAKOUT SIGNAL
Close above \$15.50 (prior resistance near prox_52w target) on volume >5x 20d average
INSTITUTIONAL
Institutional ownership data is not available from this feed - recommend 13F cross-reference. No insider buying in the last 60 days. The 6.83x volume on a 128.4M float name is the most significant institutional signal here - at that float size, 6.83x volume means tens of millions of dollars changing hands, which is inconsistent with retail activity. This looks like a large growth fund or biotech specialist adding aggressively after the post-earnings base formation confirmed the thesis.
EARNINGS
REPORTED
EARNINGS CONTEXT
Reported May 5. As a pre-revenue clinical-stage company, P/E is inapplicable - valuation reflects pipeline probability-weighted NPV. The relevant metrics post-report are cash runway, burn rate, and clinical milestones, not EPS. Next catalyst is clinical data, not earnings.
KEY RISK
Thesis invalid on a close back below \$12.50 (post-earnings consolidation base), or on any clinical hold, partial clinical hold, or negative data update for RLY-2608 or RLY-4008 - binary clinical risk is the dominant risk factor and is not hedgeable through stop-losses if news breaks pre-market.
ANALYSIS
The strongest disconfirming evidence is the RS line NOT at a 52-week high despite a +55.3% 12-week outperformance - this discrepancy suggests the prior 52-week RS high was set during an even larger earlier move, meaning the stock has recovered but not yet re-established clear relative leadership on a longer timeframe. Additionally, Healthcare is the weakest leading sector this week (-1.5% vs SPY), creating a sector headwind. The bull case: 6.83x volume on a +12.6% move post-earnings-base formation with strong 3-month RS and a differentiated precision oncology platform is a legitimate institutional re-rating signal. The base tightness at 2.66 is acceptable but not ideal. Conviction: Medium.
Signal: Close above \$15.50 (prior resistance near prox_52w targ Vol vs Avg: 6.83x



ENPH

Enphase Energy, Inc.

\$57.60

+8.37%

RS vs SPY: +12.8%

B STRONG SETUP

\$7.6B Cap | 128M Float

Solar | Theme: Distributed Solar & Storage | 52W Hi: 100% | Base Tight: 5.67 | Vol: 2.35x | RS/SPY: +12.8% | Above 20MA: YES | EARNINGS IN 68D

SETUP METRICS	
Price	\$57.60
Day Change	+8.37%
Mkt Cap	\$7.59B
Float	128M sh
RS vs SPY	+12.8%
52W Hi Prox	100%
Base Tight	5.67
Vol vs Avg	2.35x
RS Line Hi	YES
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
Breakout to an exact 52-week high (prox_52w = 100.0) with RS line confirming - likely driven by residential solar policy tailwinds and any positive utility/installer channel data. Forward catalyst path: July 28 earnings is the key event where management commentary on IRA incentive status, European storage demand recovery, and US residential installation activity will determine whether this is a new leg up or a failed breakout at the high.
BUSINESS & POSITION
Enphase Energy is the global leader in microinverter-based solar energy systems, with a rapidly growing battery storage and EV charging ecosystem that is transforming it from a hardware vendor into an energy management platform. Its microinverter architecture provides superior performance and monitoring data versus string inverters, commanding price premiums and high customer loyalty in the residential solar segment.
FACTOR & THEME
Directly exposed to the distributed solar and home energy management theme - residential solar installation volumes, IRA incentives, and net metering policy are the key demand drivers. European energy storage recovery post-2025 destocking is an emerging upside catalyst. The risk is policy reversal on IRA residential credits, which has been the dominant overhang on ENPH for 18 months.
BREAKOUT SIGNAL
Close above \$57.62 (52W high) on volume >3x 20d average - at exactly the high today
INSTITUTIONAL
Institutional ownership data is not available from this feed - recommend 13F cross-reference. No insider buying in the last 60 days. At \$7.59B market cap with 127.8M float, the 2.35x volume is modest for an A-grade signal - this is below the 3x+ threshold that would signal aggressive institutional block buying. However, the RS line at a 52-week high and prox_52w at exactly 100.0 are technically pristine signals. The wide base (5.67 ATR ratio) is the key structural weakness.
EARNINGS
EARNINGS IN 68D
EARNINGS CONTEXT
Next earnings July 28. Enphase has had a volatile beat/miss history over the last 8 quarters as IRA policy uncertainty created demand volatility. The market will need confirmation that residential installation volumes are recovering and that inventory at distributors has normalized - a beat without a guidance raise would likely disappoint the market given the stock's run.
KEY RISK
Thesis invalid on a close back below \$52.00 (prior consolidation support / 20MA area), or on any Congressional action reducing or eliminating IRA residential solar tax credits - this is the single largest exogenous risk and is binary in nature. The wide base (5.67) also means mean-reversion risk from the breakout point is above-average.
ANALYSIS
The strongest disconfirming evidence is the extremely wide base (5.67 ATR ratio - the widest in this entire scan) combined with only 2.35x volume on a 127.8M float name at a 52-week high breakout - this is the weakest volume confirmation for what should be the highest-conviction technical event (RS line at new high + prox_52w = 100). Without at least 3-4x volume on the 52-week high breakout of a large-float name, the odds of a failed breakout and reversal are materially elevated. The RS line at new high saves it from a C-grade. IRA policy risk is an unquantifiable binary overhang. Risk-on tape and Technology sector leadership are supportive. Conviction: Medium (volume confirmation insufficient for full position).
Signal: Close above \$57.62 (52W high) on volume >3x 20d average
Vol vs Avg: 2.35x



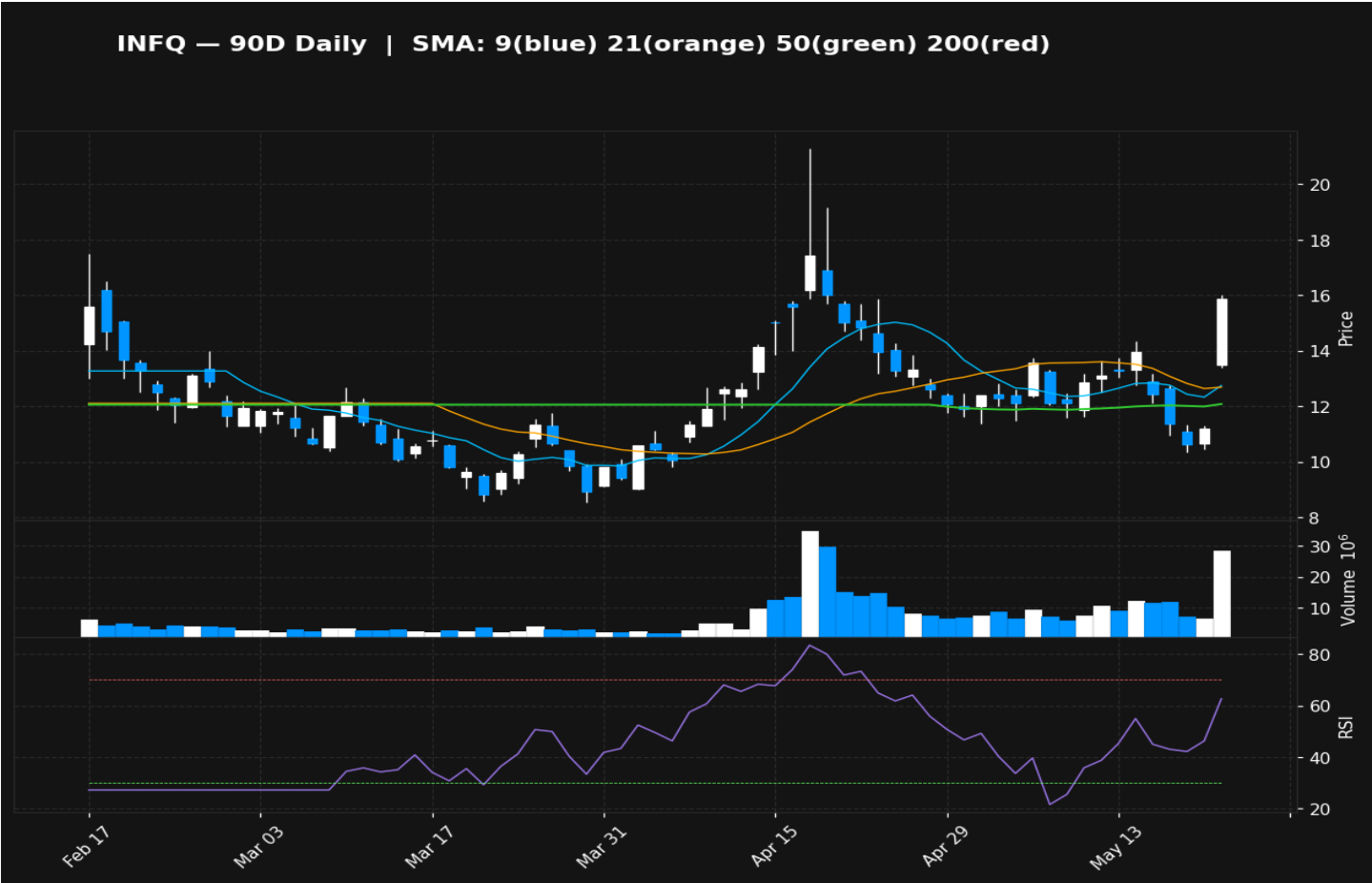
SETUP METRICS	
Price	\$13.56
Day Change	+12.53%
Mkt Cap	\$0.30B
Float	14M sh
RS vs SPY	+190.0%
52W Hi Prox	93%
Base Tight	4.8
Vol vs Avg	4.14x
RS Line Hi	no
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
Post-earnings continuation (reported May 12, 9 days ago) on 4.14x volume - the move reflects accelerating adoption of Digimarc's digital watermarking platform for product authentication, retail self-checkout, and packaging recyclability verification. Forward catalyst path: any major CPG or retailer partnership announcement, EU digital product passport regulatory mandate progression, or inclusion in a thematic ETF would be high-impact catalysts over the next 3-6 months given the niche positioning.
BUSINESS & POSITION
Digimarc is a digital watermarking technology company whose platform embeds imperceptible machine-readable codes into packaging, labels, and media - enabling product authentication, supply chain traceability, and automated retail scanning at a fraction of the cost of traditional barcode/RFID solutions. Its SaaS-based recurring revenue model and patent-protected technology create a defensible niche position with expanding enterprise value as regulatory requirements for product traceability increase globally.
FACTOR & THEME
Exposed to the intersection of supply chain transparency, sustainability/ESG mandates (EU digital product passports require item-level traceability by 2027), and retail automation - all three are accelerating regulatory and commercial imperatives. The small float and niche technology positioning make this a classic asymmetric SMID growth story with call-option characteristics on enterprise adoption inflection.
BREAKOUT SIGNAL
Close above \$14.64 (52W high) on volume >4x 20d average
INSTITUTIONAL
Institutional ownership data is not available from this feed - recommend 13F cross-reference. No insider buying in the last 60 days. At \$300M market cap with only 13.9M float shares, the 4.14x volume represents an extremely large percentage of the float changing hands - this is almost certainly institutional or specialist fund activity rather than retail, as the average daily volume on a 13.9M float name is tiny and 4x volume would represent several percent of float. This type of low-float + high volume = highly combustible setup but also fragile.
EARNINGS
REPORTED
EARNINGS CONTEXT
Reported May 12. As a pre-profitability SaaS company, P/E is inapplicable - valuation reflects ARR growth trajectory and net revenue retention. The relevant post-earnings metrics are ARR growth rate, customer count expansion, and gross margin trajectory. A +190% rs_vs_spy over 12 weeks following the earnings print suggests the report contained a material positive data point on adoption acceleration.
KEY RISK
Thesis invalid on a close back below \$11.50 (post-earnings base support), or on any major customer loss announcement or failure to secure the anticipated EU regulatory mandate compliance contracts by Q3 2026. At \$300M market cap and 13.9M float, a single large holder exit creates 20%+ air pockets.
ANALYSIS
The strongest disconfirming evidence is the RS line NOT at a 52-week high despite a +190% 12-week rs_vs_spy - the highest in this entire scan - which is a structural inconsistency suggesting the prior 52-week RS high was set on an even larger historical spike (possibly a prior news event), meaning the current move has not yet eclipsed that peak on a relative basis. The wide base (4.8 ATR ratio) and micro-cap illiquidity (\$300M cap, 13.9M float) are additional structural weaknesses that limit institutional position sizing. The bull case is the extraordinary momentum (+190% 12-week RS, confirmed institutional volume pattern, niche platform with regulatory tailwind) that represents genuinely rare market leadership. The RS line at a new high would have made this an A. Conviction: Medium (liquidity-constrained sizing).
Signal: Close above \$14.64 (52W high) on volume >4x 20d average
Vol vs Avg: 4.14x



SETUP METRICS	
Price	\$15.86
Day Change	+41.86%
Mkt Cap	\$3.46B
Float	143M sh
RS vs SPY	+18.3%
52W Hi Prox	74%
Base Tight	4.46
Vol vs Avg	21.31x
RS Line Hi	no
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
The 41.86% single-day gap on 21.31x volume is almost certainly driven by a contract award, partnership announcement, or government program selection - this magnitude of move on this volume ratio requires a hard catalyst, not a technical breakout. Forward catalyst path: August 13 earnings will be the next formal disclosure event, but any follow-on government contract award or DoD/DARPA program announcement in the interim would be the key extension catalyst given Infleqtion's defense-quantum positioning.
BUSINESS & POSITION
Infleqtion is a quantum information company developing quantum computing, sensing, and networking solutions with a primary focus on U.S. government and defense applications - including atomic clocks, quantum navigation (GPS-denied environments), and quantum computing platforms. Its government-first go-to-market reduces commercial timing risk while positioning it at the frontier of the DoD's quantum technology modernization agenda.
FACTOR & THEME
Directly exposed to the defense technology modernization theme and the emerging quantum computing sector - both represent high-growth, strategically protected markets with significant government funding backstop. Defense tech spending is in a multi-year acceleration phase, and quantum sensing for GPS-denied navigation is a near-term, commercially viable application unlike the longer-dated quantum computing timeline.
BREAKOUT SIGNAL
Hold above \$14.50 gap support on any pullback; new entry requires close above \$17.50 on continued elevated volume
INSTITUTIONAL
Institutional ownership data is not available from this feed - recommend 13F cross-reference. No insider buying in the last 60 days. The 21.31x volume on a 142.6M float name is staggering in absolute dollar terms - this is unambiguously institutional and/or algorithmic activity responding to a catalyst announcement. However, the prox_52w of only 74.5 means the stock is still 25.5% below its 52-week high, indicating the prior high was set at a much higher price and this is a recovery move, not a new-high breakout - the technical structure is a news-driven gap, not a base breakout.
EARNINGS
EARNINGS IN 84D
EARNINGS CONTEXT
Next earnings August 13. As a pre-revenue/early-revenue defense-quantum company, P/E is inapplicable - valuation reflects contract backlog, government program wins, and technology milestone achievement. The August 13 print will be most relevant for contract revenue recognition and R&D funding updates.
KEY RISK
Thesis invalid on a close back below \$13.00 (the gap-fill level / prior resistance), or on any contract cancellation or government program budget cut announcement. The 41.86% gap with prox_52w only at 74.5 means there is substantial overhead supply from prior holders who bought between \$16-\$21 who will sell into strength - this is the primary technical overhang.
ANALYSIS
The strongest disconfirming evidence is that this is a classic gap-and-trap setup: prox_52w at only 74.5 means the stock is still deeply below its prior 52-week high, placing the current move into massive historical overhead supply; combined with a wide base (4.46), no RS line new high, and rs_vs_spy of only +18.3 - the technical leadership profile is inconsistent with a 41.86% gap, suggesting this is a news-driven gap into resistance rather than a momentum continuation from a clean base. The 21.31x volume is extraordinary but volume alone does not confirm the quality of the setup - it confirms the catalyst was real. On any pullback, the gap fill risk to \$12-13 is material. The defense-quantum theme and Technology sector leadership are supportive, but execution on this type of gap requires perfect positioning. Conviction: Medium (gap-fill risk elevated; wait for consolidation at new level before adding).
Signal: Hold above \$14.50 gap support on any pullback; new entr
Vol vs Avg: 21.31x



AAP

Advance Auto Parts Inc.

\$59.76

+16.64%

RS vs SPY: -0.3%

B STRONG SETUP

\$3.6B Cap | 60M Float

Auto Parts | Theme: Auto Parts Turnaround | 52W Hi: 85% | Base Tight: 4.77 | Vol: 4.05x | RS/SPY: -0.3% | Above 20MA: YES | EARNINGS TODAY

SETUP METRICS	
Price	\$59.76
Day Change	+16.64%
Mkt Cap	\$3.61B
Float	60M sh
RS vs SPY	-0.3%
52W Hi Prox	85%
Base Tight	4.77
Vol vs Avg	4.05x
RS Line Hi	no
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
Earnings beat today is driving the +16.64% gap - likely driven by better-than-feared same-store sales, margin improvement from restructuring actions, or guidance stabilization after a prolonged turnaround. Forward catalyst path: the durability of this move depends entirely on whether today's print represents a genuine inflection in the turnaround (improved execution metrics, gross margin recovery, inventory management) vs. a one-quarter anomaly - the next earnings print (approximate timing: ~August) will be the verdict.
BUSINESS & POSITION
Advance Auto Parts is one of the three major U.S. auto parts retailers, operating approximately 4,700 stores serving both professional (DIFM) and DIY customers. The company has been in a multi-year turnaround under new management focused on operational rationalization, store optimization, and professional market share recovery - creating a potential value-plus-momentum setup if execution proves durable.
FACTOR & THEME
Exposed to the automotive aftermarket - a structurally resilient market as aging vehicle fleet dynamics (average U.S. vehicle age ~12.6 years) support parts demand regardless of macro. The tariff environment on new vehicles accelerates used vehicle retention and aftermarket parts demand, providing a near-term secular tailwind for all three major auto parts retailers.
BREAKOUT SIGNAL
Hold above \$57.00 gap support; breakout continuation requires close above \$62.00 on volume >3x 20d average in subsequent sessions
INSTITUTIONAL
Institutional ownership data is not available from this feed - recommend 13F cross-reference. No insider buying in the last 60 days. The 4.05x volume on a earnings-day gap is standard institutional rebalancing - shorts covering, value funds initiating, momentum funds chasing. The critical question is whether this move attracts growth-oriented institutional buyers or remains primarily a short-squeeze/value-realization trade, which would limit follow-through duration.
EARNINGS
EARNINGS TODAY
EARNINGS CONTEXT
Earnings today - this is the live catalyst. AAP has had a difficult beat history over the last 8 quarters with multiple guidance cuts under prior management. The key metrics to watch are: same-store sales growth vs. consensus, gross margin trajectory (has been under significant pressure), and any update on store rationalization / portfolio optimization. A beat-and-raise that demonstrates the turnaround is on track would be a genuine re-rating catalyst; a beat on optics with maintained/cut guidance would be a trap.
KEY RISK
Thesis invalid on a close back below \$55.00 (the pre-earnings gap support), or on any management commentary indicating same-store sales growth is unsustainable or gross margins cannot recover to historical levels - the wide base (4.77) and negative rs_vs_spy (-0.3) mean there is no prior momentum foundation supporting this move, only the earnings event itself.

AAP - Analysis (continued)

ANALYSIS

The strongest disconfirming evidence is that AAP has a negative rs_vs_spy of -0.3 over 12 weeks - this stock was underperforming the market before today's gap, which means there is no prior momentum foundation and today's move is 100% event-driven. Combined with a wide base (4.77), no RS line new high, and a troubled multi-year operational history, this is a turnaround gap - not a momentum continuation. The pattern of earnings-driven gaps in turnaround situations has a historically low follow-through rate in Risk-On large-cap leadership regimes where capital flows toward growth, not value recovery. The 16.64% gap on earnings today is the entire catalyst, and with rs_vs_spy barely flat, incremental buyers will demand evidence of sustained execution over multiple quarters before paying up. Conviction: Low (event-driven gap with no prior momentum; follow-through dependent on sustained execution confirmation over multiple quarters).

Signal: Hold above \$57.00 gap support; breakout continuation re
Vol vs Avg: 4.05x

